Employer Supported Training 2012

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Notations:

-	: nil or negligible
n.a.	: not applicable

List of Abbreviations:

CPF	: Central Provident Fund
HR	: Human Resource
PMET	: Professionals, Managers, Executives and Technicians
SDF	: Skills Development Fund
SPUR	: Skills Programme for Upgrading and Resilience
WTS	: Workfare Training Support Scheme

Highlights

- The majority of employers continued to provide structured training to their employees in 2012, despite the tight labour market. The proportion of private establishments that provided structured training to their employees in 2012 (71%) was unchanged from 2010 and comparable to the high of 72% in 2005 and 2006.

- Overall, the share of employees sent for structured training in training-providing establishments was 57% in 2012, comparable to the 58% in 2010. Professionals, managers, executives and technicians (PMETs) (2010: 63% to 2012: 59%) and clerical, sales & service workers (2010: 54% to 2012: 51%) saw declines. In contrast, production & transport operators, cleaners and labourers, registered a 1.8%-point increase from 2010 to 58% in 2012, supported by government's initiatives such as the Workfare Training Support (WTS) Scheme which encourages employers to sponsor their low-wage employees for training.

- Employers spent less on training in 2012, partly reflecting the decline in proportion of PMETs (whose training fees are typically higher) sent for training. The training cost per employee incurred by training-providing employers decreased from $511 in 2010 to $407 in 2012 or from $449 to $362, after deducting training grants/subsidies and costs recovered from training incentive schemes. On the whole, the training expenditure per employee generally trended downwards over the eight years from 2004 to 2012 (-2.8% p.a.). Reflecting wider government support for training, the decline in employers' net training expenditure per employee was more pronounced (-4.1% p.a.).

- Amid the labour shortage, a lower proportion of training-providing establishments (24%) committed to training their staff for a specified number of hours per year in 2012 compared to 2010 (31%). Similarly, the incidence of training-providing private establishments having a formal training/staff development policy declined to 30% in 2012 from 36% in 2010. Fewer establishments also assigned a senior management staff to oversee training (31%), down from 2010 (39%) and a decade ago (57%).

- Training-providing establishments were more likely than their non training-providing counterparts to be motivated to send more employees for structured training. Increased training subsidies and improved ability to manage workload were the key motivations for employers to send more staff for training.

- Employers generally reported that the training undertaken in 2012 had benefitted their organisational and staff performance. The majority of private establishments that evaluated the effectiveness of staff training reported positive impact on work productivity (78%), quality of products and services (77%), customer satisfaction (66%) and ability to meet changing/future business needs (64%). A large majority of employers felt that training enhanced employees' skills (90%), job responsibilities (76%) and work motivation (71%). The employers were more divided about the impact of training on employees' wages (50%) and promotion opportunities (52%).

Employer Supported Training, 2012

1 Introduction

1.1 Staff training is vital in helping businesses raise productivity and competitiveness. With the drive to achieve sustainable, quality growth, there is greater impetus to build a productive workforce through continual education and training. Training can either be structured (where the training activities have a specified content or predetermined path, including structured on-the-job training) or unstructured (e.g. when less experienced workers acquire new skills by observing more skilled colleagues at work).

1.2 This report examines employers' provision of structured training from January to December 2012 and outcomes of the training. The findings are based on data from the biennial Survey on Employer Supported Training where the fieldwork was conducted from 27 March to 31 May 2013. The survey effectively covered 3,500 private establishments (each with at least 25 employees) employing some 1,092,400 employees. This yielded an overall survey response rate of 90.6%. The survey coverage and methodology are in Appendix I.

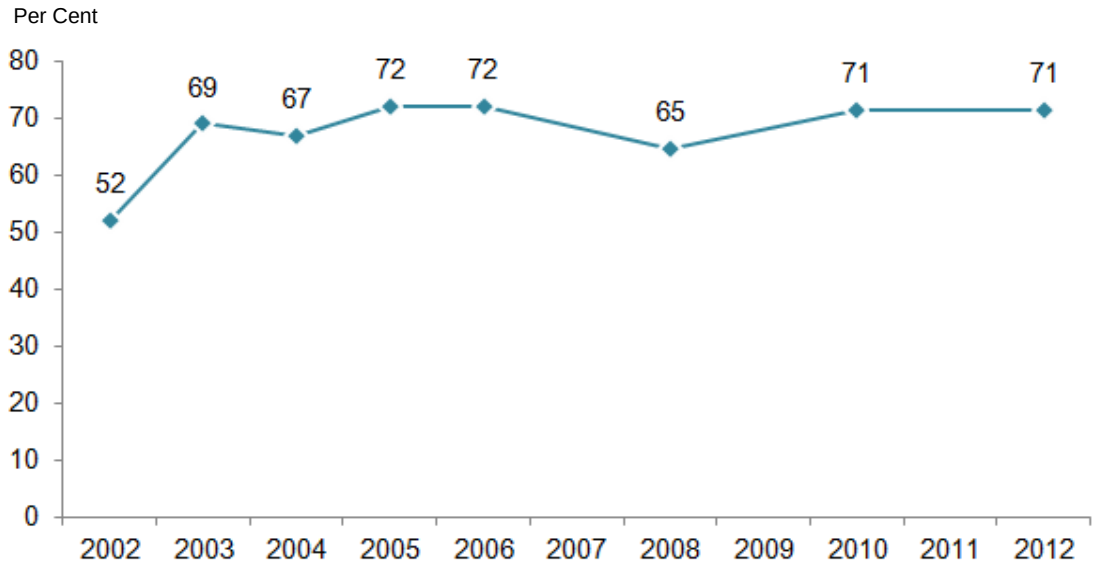
2 Training Provision

Proportion of private establishments providing structured training held up in 2012, despite tight labour market

2.1 Despite the tight labour market[1], the proportion of private establishments that provided structured training to their employees held up in 2012. Slightly over seven in ten (71%) private establishments provided structured training to at least some of their employees in 2012, unchanged from 2010 and comparable to the high of 72% in 2005 and 2006.

[1] Amid high employment creation, unemployment remained at a 15-year low of 2.0% for overall and 3.0% for citizens in 2012, while the rate for residents declined to 2.8% from 2.9% in 2011.

Chart 1: Proportion Of Private Establishments That Provided Structured Training, 2002 – 2012



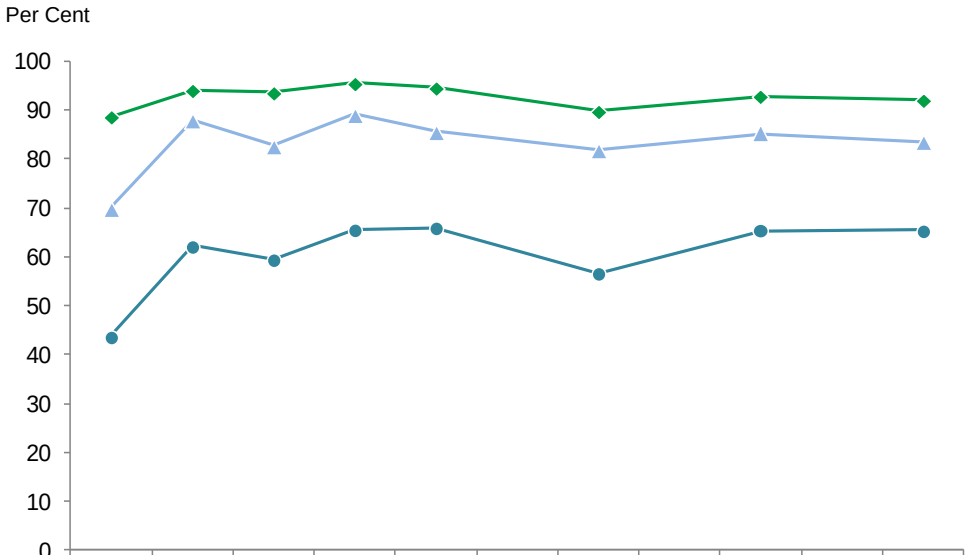
Note: The frequency of the survey was changed from annual to biennial (i.e. once every two years) from 2006 onwards.

By Establishment Size

Larger establishments continued to lead in provision of structured training

2.2 Slightly over nine in ten (92%) large establishments (employing at least 200 employees) sent their employees for training in 2012, higher than 84% in medium-sized (with 100 to 199 employees) and 65% in small (with 25 to 99 employees) establishments. Compared with 2010, there was a slight decline in proportion of medium-sized establishments that provided training for their staff in 2012, while the proportions for large and small establishments were stable (Chart 2).

Chart 2: Proportion Of Private Establishments That Provided Structured Training By Establishment Size, 2002 – 2012



	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
25 - 99 Employees	43.7	62.2	59.5	65.6	66.0	n.a.	56.7	n.a.	65.2	n.a.	65.4
100 - 199 Employees	69.9	88.0	82.7	89.1	85.6	n.a.	81.9	n.a.	85.1	n.a.	83.6
200 or More Employees	88.7	94.1	93.6	95.5	94.6	n.a.	89.8	n.a.	92.7	n.a.	92.1

Note: The frequency of the survey was changed from annual to biennial (i.e. once every two years) from 2006 onwards.

By Industry

Provision of structured training varied widely across industries

2.3 Employers from *financial and insurance services* (91%) and *construction* (90%) were most likely to send their staff for structured training in 2012. Other industries with above-average training incidence were *professional services* (78%), *manufacturing* (78%) and *real estate services* (74%). In contrast, those from *wholesale & retail trade* (42%) were the least likely to provide structured training. Details are in Annex A - Table A1.

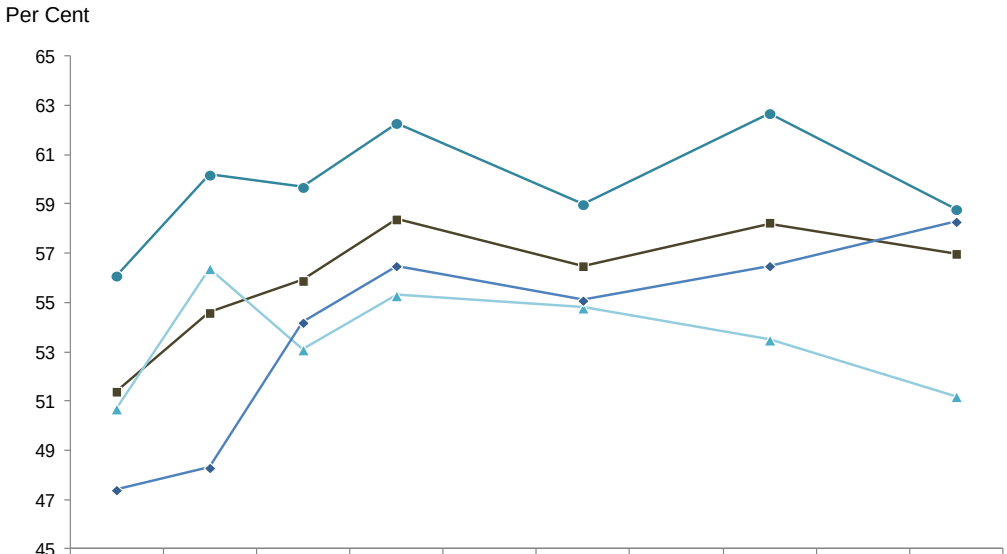
By Occupational Group

More production & transport operators, cleaners & labourers sent for training

2.4 Overall, the share of employees sent for structured training in training-providing establishments dipped in 2012, amid the manpower shortage. On average, training-providing employers sent 57% of their staff for structured training in 2012, down slightly from 58% in 2010. The decline was more obvious among professionals, managers, executives and technicians (PMETs) from 63% in 2010 to 59% in 2012. Clerical, sales and service workers saw a smaller decline from 54% in 2010 to 51% in 2012. In contrast, production & transport operators, cleaners & labourers, registered a 1.8%-point increase from 2010 to 58% in 2012, continuing a general uptrend over the years from the low of 47% in 2003, supported by government's initiatives such as the Workfare Training Support (WTS) Scheme that encourage employers to sponsor their low-wage employees for training[2](Chart 3).

[2] The Workfare Training Support (WTS) Scheme was introduced to complement the Workfare Income Supplement (WIS) by encouraging older low-wage workers to upgrade their skills through training so that they can improve their employability, upgrade to better jobs and earn more. It comprises three components namely Employer Grant, Training Commitment Award and Workfare Skill Up. The WTS Scheme takes effect from 1 July 2010 and will run for a period of three years.

Chart 3: Proportion Of Private Sector Employees Provided With Structured Training In Training-Providing Establishments By Occupational Group, 2003-2012



	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
Overall	51.4	54.6	55.9	58.4	n.a.	56.5	n.a.	58.2	n.a.	57.0
PMETs	56.1	60.2	59.7	62.3	n.a.	59.0	n.a.	62.7	n.a.	58.8
Clerical, Sales & Service Workers	50.7	56.4	53.1	55.3	n.a.	54.8	n.a.	53.5	n.a.	51.2
Production & Transport Operators, Cleaners & Labourers	47.4	48.3	54.2	56.5	n.a.	55.1	n.a.	56.5	n.a.	58.3

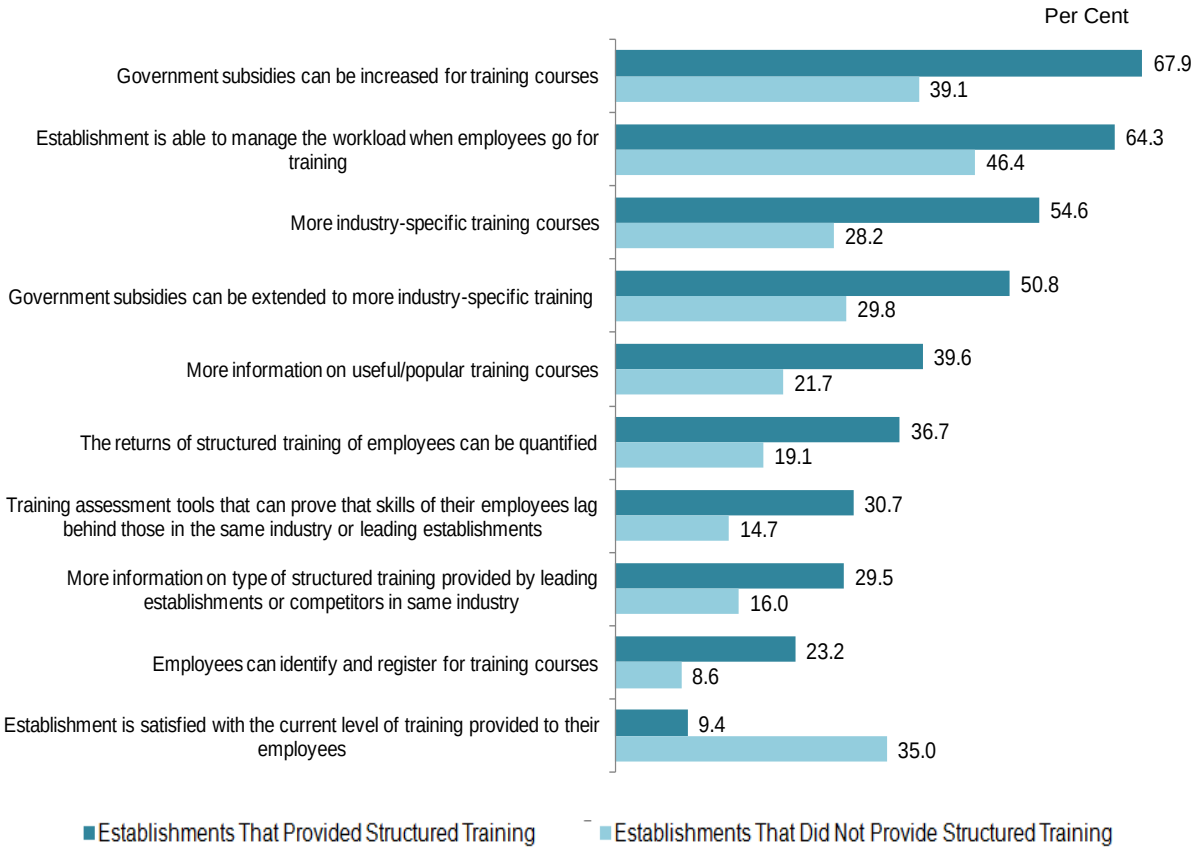
Notes:
(1) Based on private establishments that provided their employees with training.
(2) The frequency of the survey was changed from annual to biennial (i.e. once every two years) from 2006 onwards.
(3) Breakdown of data by industry and establishment size is at Annex A- Table A2.

Measures that would encourage provision of structured training

Increased training subsidies and improved ability to manage workload would motivate employers to send more staff for training

2.5 Majority of the training-providing establishments reported that an increase in *government subsidies for training courses* (68%) and *the ability to manage workload when employees go for training* (64%) would motivate them to send more of their staff for structured training. The corresponding share for non training-providing establishments was 39% and 46% respectively. In general, training-providing establishments were more likely than their non training-providing counterparts to be motivated to send more employees for structured training. Notably, only 9.4% of training-providing establishments were not motivated to send more staff for training as they were satisfied with their current level of training provided to their employees, compared with 35% for non training-providing establishments.

Chart 4: Measures That Would Encourage Private Establishments To Send (More) Employees For Structured Training, 2012



Notes:
(1) The figures do not add up to 100% as establishments are allowed to indicate more than one measure.
(2) Breakdown of the data by establishment size is at Annex 1- Table A3.

3 Training Expenditure

Training cost per employee declined, as proportion of PMETs sent for training fell

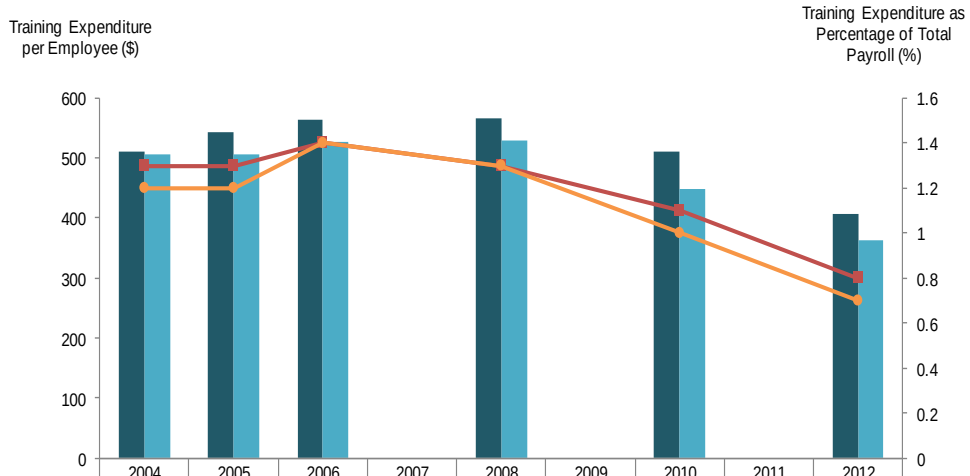
3.1 Training-providing establishments spent less on training in 2012, partly reflecting the decline in proportion of PMETs (whose training fees are typically higher) sent for training. The average training expenditure incurred by training-providing establishments decreased from $872 per trainee in 2010 to $717 per trainee in 2012. Similarly, the training expenditure per employee decreased from $511 in 2010 to $407 in 2012 when normalised across all employees in these establishments. Coupled with the increase in higher wage cost incurred by establishments in 2012,[3] training expenditure as a percentage of employee payroll (comprising staff remuneration and employers' CPF contribution) declined from 1.1% in 2010 to 0.8% in 2012.This was the third sequential decline after a brief rise to 1.4% in 2006 (Chart 5).

3.2 After deducting training grants/subsidies and costs recovered from training incentive schemes (such as the Skills Development Fund and WTS), training-providing establishments incurred a net training expenditure of $641 per trainee or $362 per employee in 2012, notably lower than in 2010 ($766 per trainee or $449 per employee). Likewise, the net training expenditure as a percentage of employee payroll fell from 1.0% in 2010 to 0.7% in 2012.

3.3 On the whole, the training expenditure per employee generally trended downwards over the eight years from 2004 to 2012 (-2.8% p.a.). Training cost declined by 7.9% p.a. in the recent four years, after increasing by 2.6% p.a. in the earlier four years. Similar observations were made with net training expenditure (Table 1). Reflecting wider government support for training, the decline in employers' net training expenditure per employee was more pronounced (-9.1% p.a. from 2008 to 2012 or -4.1% p.a. from 2004 to 2012).

[3] Total wages including employer CPF contributions in the private sector grew over the year by 4.2% in 2012, after increasing by 6.1% in 2011. (Source: Survey on Annual Wage Changes, 2012).

Chart 5: Training Expenditure Per Employee And As A Percentage Of Employee Payroll In Training-Providing Private Establishments, 2004-2012



	2004	2005	2006	2007	2008	2009	2010	2011	2012
Total Training Expenditure per Employee ($)	511	542	563	n.a.	566	n.a.	511	n.a.	407
Net Training Expenditure per Employee ($)	505	506	527	n.a.	530	n.a.	449	n.a.	362
Training Expenditure as Percentage of Total Payroll (%)	1.3	1.3	1.4	n.a.	1.3	n.a.	1.1	n.a.	0.8
Net Training Expenditure as Percentage of Total Payroll (%)	1.2	1.2	1.4	n.a.	1.3	n.a.	1.0	n.a.	0.7

Notes:
(1) Based on private establishments that provided their employees with training.
(2) Net training expenditure refers to total training expenditure after deducting training grant/subsidy received from private sponsors and amount recovered from training incentive schemes (e.g. Skills Development Fund, Workfare Training Support).
(3) The frequency of the survey was changed from annual to biennial (i.e. once every two years) from 2006 onwards.

Table 1: Annualised Change In Training Expenditure Per Employee In Training-Providing Private Establishments, 2004-2012

% p.a.

	2004 To 2012 (8 years)	2004 To 2008 (4 years)	2008 To 2012 (4 years)
Total Training Expenditure Per Employee	**-2.8**	**2.6**	**-7.9**
Net Training Expenditure Per Employee	**-4.1**	**1.2**	**-9.1**

Note: Based on private establishments that provided their employees with training.

3.4 Expectedly, large establishments with 200 or more employees continued to invest more on training. On average, large establishments spent $494 per employee (or 0.9% of payroll), more than the $266 (or 0.7% of payroll) and $258 (or 0.7% of payroll) incurred by smaller establishments employing 25-99 employees and 100-199 employees respectively.

3.5 Total training expenditure per employee varied widely across industries, ranging from a high of $767 per employee (or 1.6% of payroll) in *transport & storage industry* (reflecting the heavy training investment on airline crew) to as low as $132 per employee (or 0.6% of payroll) in *construction*. Generally, industries with better skilled profile incurred more on training. These included *financial &*

insurance services ($723 or 0.6%), *information & communications* ($645 or 0.9%) and *professional services* ($612 or 0.8%) (Annex A – Table A4).

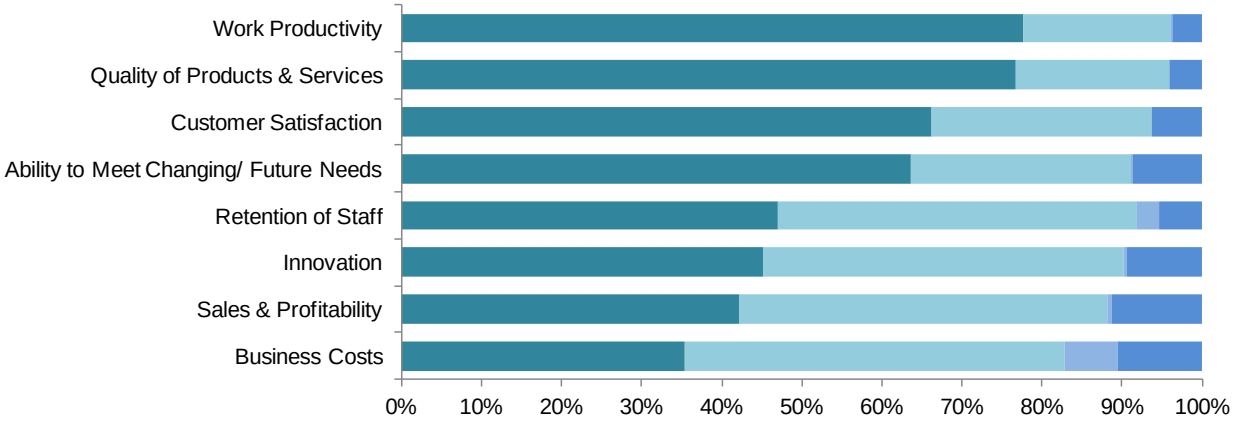
4 Impact of Training

Employers generally reported positive outcomes from training undertaken

Organisational Performance

4.1 Generally, employers reported that training undertaken in 2012 had benefitted their organisational performance (Chart 6). The majority of private establishments that evaluated the effectiveness of staff training reported positive impact on *work productivity* (78%), *quality of products and services* (77%), *customer satisfaction* (66%) and *ability to meet changing/future business needs* (64%). A significant proportion also reported benefits to *retention of staff* (47%), *innovation* (45%), *sales & profitability* (42%) and *business costs* (35%).

Chart 6: Impact Of Training On Organisational Performance, 2012



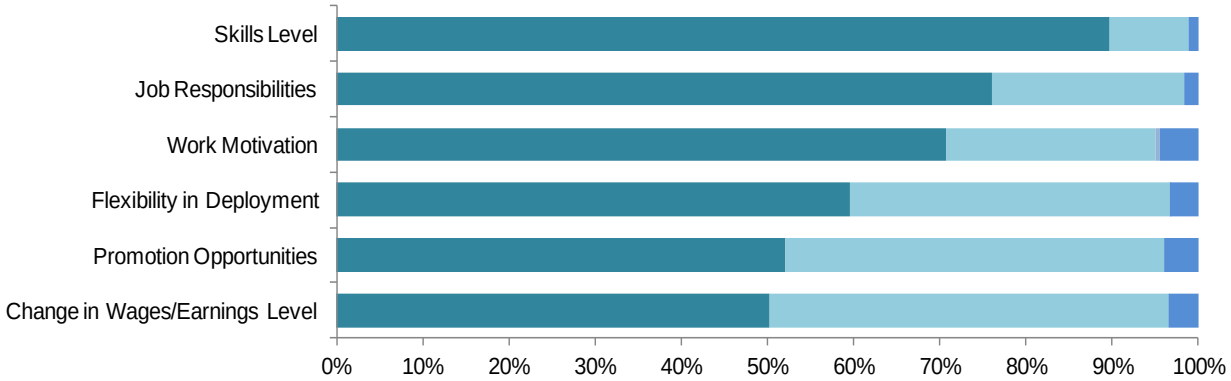
	Business Costs	Sales & Profitability	Innovation	Retention of Staff	Ability to Meet Changing/ Future Needs	Customer Satisfaction	Quality of Products & Services	Work Productivity
Positive Impact	35.4	42.3	45.2	47.1	63.7	66.3	76.7	77.8
No Impact	47.5	45.8	45.0	44.8	27.5	27.5	19.3	18.5
Negative Impact	6.5	0.7	0.3	2.7	0.1	-	-	0.1
Don't Know	10.6	11.2	9.4	5.4	8.7	6.2	4.0	3.7

Notes:
(1) Based on private establishments that provided their employees with training and formally evaluated the effectiveness of training.
(2) '-': Nil or negligible.
(3) Data may not add up to total due to rounding.

Staff Performance and Career Advancement

4.2 A large majority of employers reported that training enhanced the employees' *skills* (90%), *job responsibilities* (76%) and *work motivation* (71%). The employers were more divided about the impact of training on employees' *wages* (50%) and *promotion opportunities* (52%), with around half indicating that training had positive impact (Chart 7).

Chart 7: Impact Of Training On Staff Performance And Career Advancement, 2012



	Change in Wages/Earnings Level	Promotion Opportunities	Flexibility in Deployment	Work Motivation	Job Responsibilities	Skills Level
Increased	50.3	52.1	59.5	70.8	76.1	89.7
No Impact	46.2	44.0	37.1	24.4	22.3	9.2
Decreased	-	-	0.1	0.4	-	-
Don't Know	3.5	3.9	3.2	4.5	1.6	1.1

Notes:
(1) Based on private establishments that provided their employees with training and formally evaluated the effectiveness of training.
(2) '-': Nil or negligible.
(3) Data may not add up to total due to rounding.

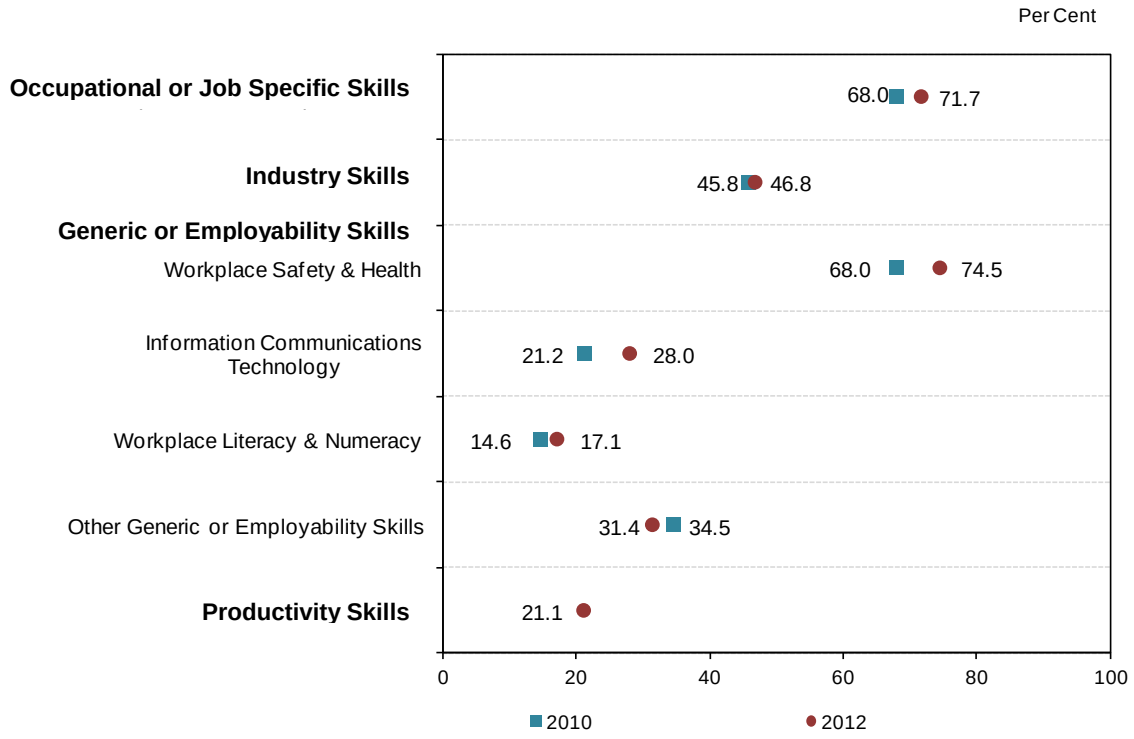
5 Training Areas

Employers were more likely to send staff for training in occupational/job-specific skills and workplace safety & health

5.1 As with previous years, employers were more likely to send their staff for training to acquire *occupational/ job-specific skills* (72%) than *industry skills* (47%). In terms of generic/ employability skills, three in four (75%) training-providing *establishments* sent at least some of their employees for training in *workplace safety & health* in 2012, up from 68% two years ago, following the

extension of the Workplace Safety and Health Act to cover all workplaces in September 2011. Training in *workplace literacy & numeracy* (17%) was less widespread than *information communications technology* (28%) and *other generic/employability skills* (e.g. problem solving, negotiations, personal effectiveness, leadership skills) (31%). Finally, one in five (21%) reported that they sent their employees for training in *productivity skills*, including productivity tools such as Six Sigma, Lean Management, Total Quality Management (TQM) and techniques related to process re-engineering, innovation, service strategies.

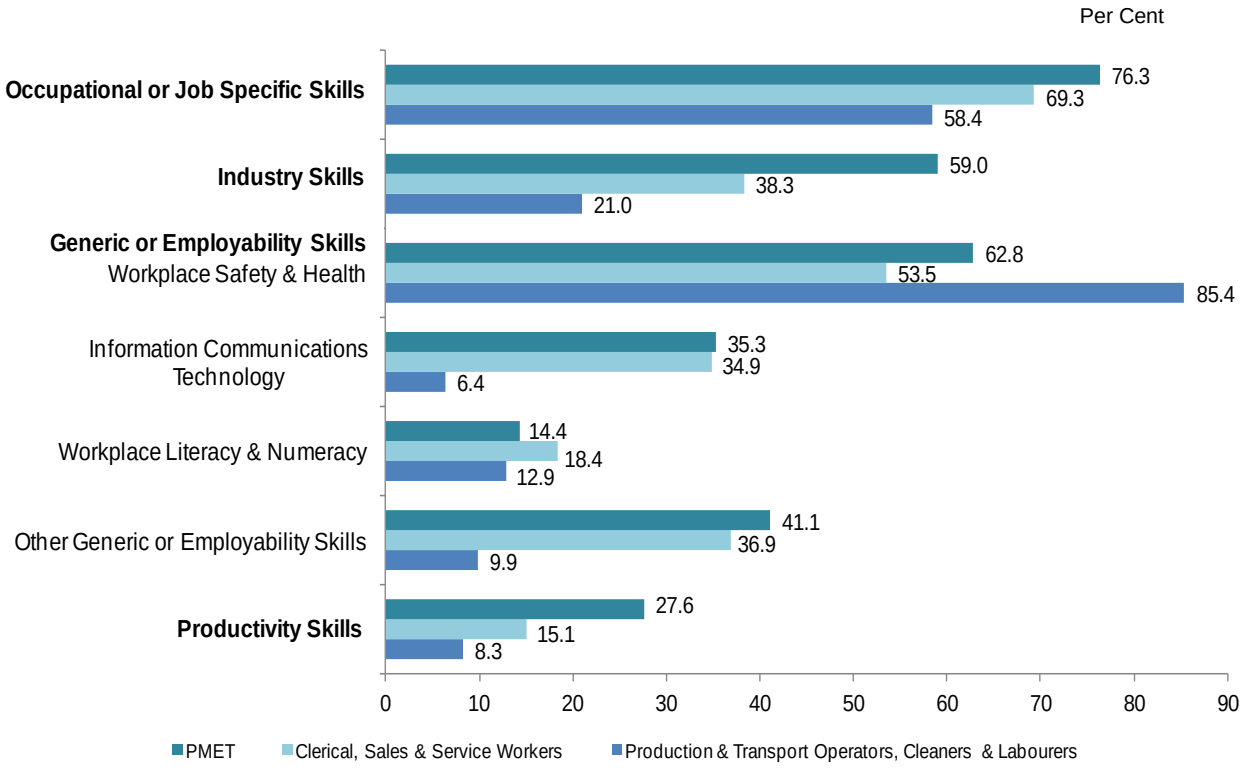
Chart 8: Proportion Of Training-Providing Private Establishments By Training Area, 2010 And 2012



Notes:
(1) Based on private establishments that provided their employees with training.
(2) Figures do not add up to 100% as establishments are allowed to indicate more than one training area.

5.2 Apart from training in *occupational/ job-specific skills* which was key for all occupational groups, employers' focus on other training areas differed, reflecting the differences in work nature. *Industry-specific* and *productivity skills* were more commonly extended to PMETs, while *workplace safety & health training* was more common with production & transport operators, cleaners & labourers (Chart 9).

Chart 9: Proportion Of Private Establishments That Sent Their Employees For Training In Various Training Areas By Occupational Group, 2012



Notes:
(1) Based on private establishments that provided their employees with training.
(2) Figures do not add up to 100% as establishments are allowed to indicate more than one training area.

6 Training Source

Vast majority of private establishments sent staff for local training conducted by external trainers

6.1 Vast majority (97%) of the training-providing establishments sent their staff for local training conducted by external trainers in 2012. Slightly less than one in two (45%) relied on in-house training conducted by internal trainers. A minority (17%) provided their staff with overseas training.

6.2 In the case of local training conducted by external trainers, majority of the training-providing (72%) establishments sent their staff for training in industry-specific training institutes (e.g. Building and Construction Academy) that provided accreditation of employee's skill competency. As for in-house training, this was more likely to be conducted by line managers, supervisors and other staff (39%) than dedicated training officers (15%).

Table 2: Proportion Of Training-Providing Private Establishments By Training Source, 2012

Training Source	Per Cent
Local Training Conducted by External Trainers	96.9
Training that leads to formally recognised qualifications	28.8
Training that does not lead to formally recognised qualifications	46.6
Training that provides accreditation of employee's skill competency by industry-specific training institutes	72.1
Local Training Conducted by Internal Trainers	45.0
Training conducted by dedicated training officers i.e. spent at least 50% of their on time on training	14.7
Training conducted by other staff (including line managers or supervisors)	39.3
Overseas Training	17.4
Training that leads to formally recognised qualifications	3.0
Training that does not lead to formally recognised qualifications	14.7
Training that provides accreditation of employee's skill competency by overseas institutes or establishment's overseas affiliates	4.9

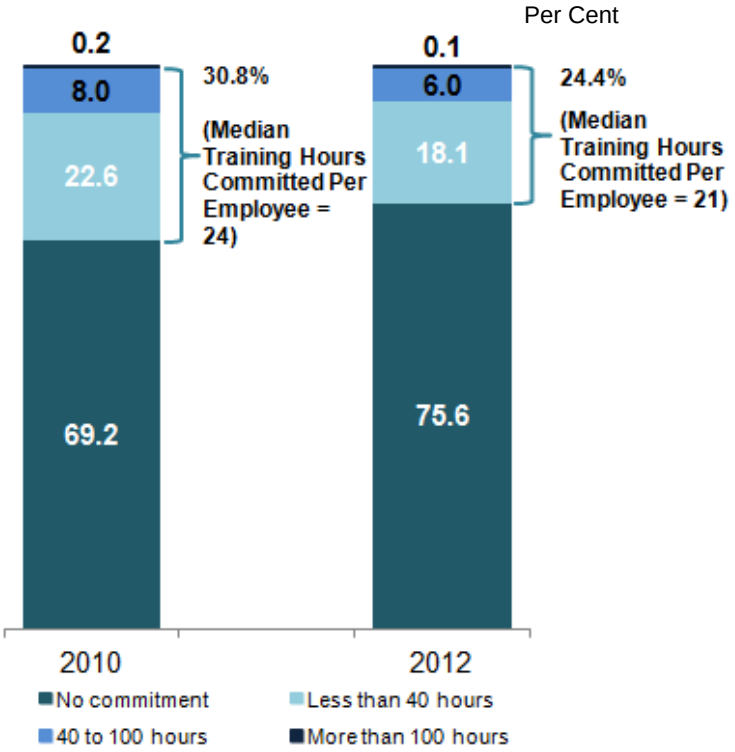
Notes:
(1) Based on private establishments that provided their employees with training.
(2) Figures do not add up to 100% as establishments are allowed to indicate more than one training source.
(3) Breakdown by industry and establishment size are at Annex A - Table A5.

7 Training Commitment

Proportion of private establishments committed to training their staff for a specified number of hours per year fell

7.1 Amid the labour shortage, a lower proportion of training-providing private establishments (24%) committed to training their staff for a specified number of hours per year in 2012 compared to 2010 (31%). The majority representing 18% of all training-providing private establishments were committed to train their staff for less than 40 hours per year, while 6.0% were committed to train for 40 to 100 hours, and the remaining 0.1% for more than 100 hours. Consequently, the median training hours committed per employee declined to 21 hours in 2012, from 24 hours in 2010.

Chart 10: Annual Commitment To Training Per Employee In Training-Providing Private Establishments, 2010 And 2012

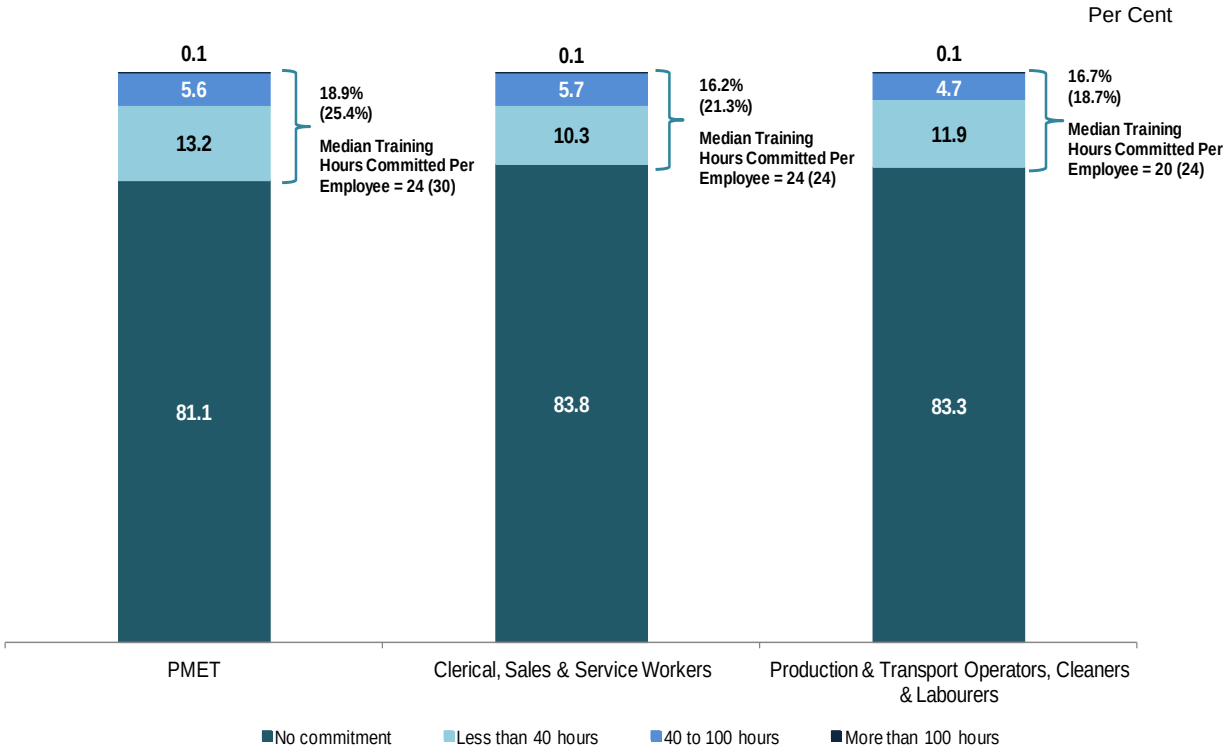


Note: Based on private establishments that provided their employees with training

7.2 Nearly one in five (19%) training-providing private establishments had committed to train their PMETs for a specific number of hours in a year, compared with clerical, sales & service workers (16%) and production & transport operators, cleaners & labourers (17%) in 2012. The median annual training hours committed for each employee was 24 for PMETs and clerical, sales & service workers and 20 for production & transport operators, cleaners & labourers. Mirroring the overall trend, the incidence of

training-providing establishments that had committed to provide specific training hours across all three broad occupational groups declined in 2012 from two years ago.

Chart 11: Annual Commitment To Training Per Employee In Training-Providing Private Establishments By Occupational Group, 2010 And 2012



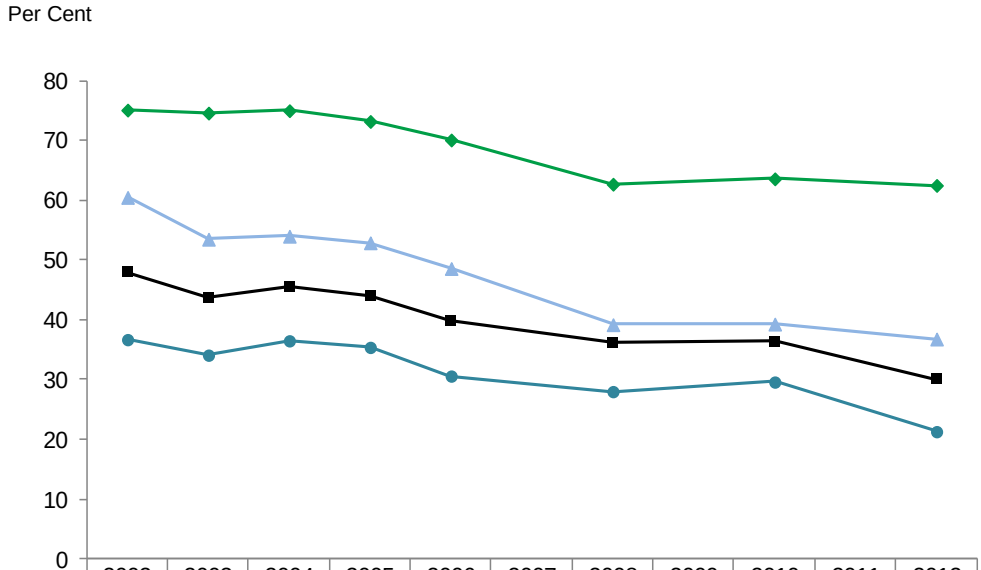
Notes:
(1) Based on private establishments that provided their employees with training.
(2) Figures in parenthesis referred to 2010 figures.
(3) Data may not add up to 100% due to rounding

8 Training Administration

Fewer establishments had formal (written) training/staff development policy….

8.1 The incidence of training-providing private establishments having a formal training/staff development policy declined to 30% in 2012 from 36% in 2010, continuing the general downtrend over the years, observed across establishments of all three size categories. The larger establishments (63%) were more likely to have it than the medium (37%) and small establishments (21%).

Chart 12: Proportion Of Training-Providing Private Establishments That Have A Formal (Written) Training/ Staff Development Policy For Staff By Establishment Size, 2002-2012



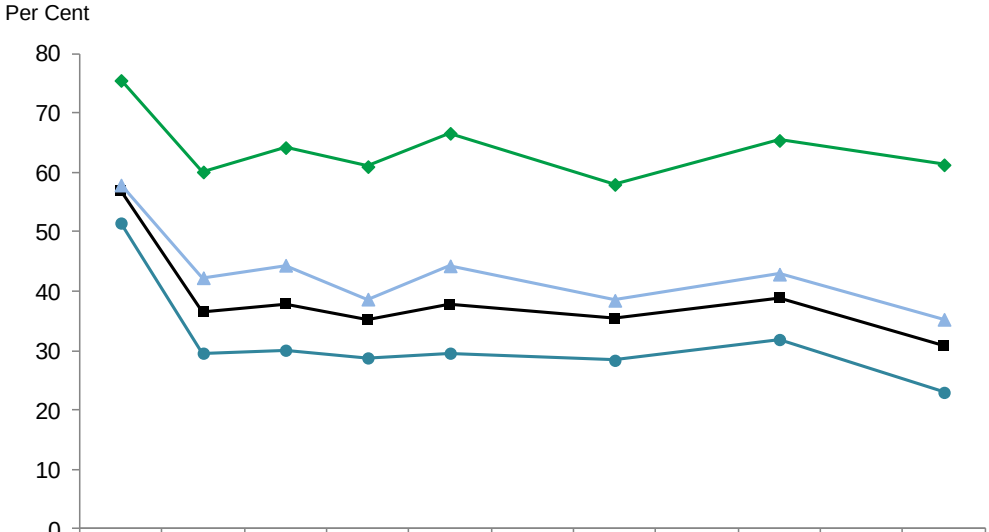
	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
Overall	48.0	43.7	45.5	44.0	39.8	n.a.	36.1	n.a.	36.4	n.a.	30.1
25 - 99 Employees	36.7	34.1	36.5	35.4	30.6	n.a.	28.0	n.a.	29.6	n.a.	21.3
100 - 199 Employees	60.5	53.5	54.0	52.9	48.6	n.a.	39.2	n.a.	39.3	n.a.	36.8
200 or More Employees	75.1	74.6	75.0	73.2	70.1	n.a.	62.7	n.a.	63.6	n.a.	62.5

Notes:
(1) Based on private establishments that provided their employees with training.
(2) The frequency of the survey was changed from annual to biennial (i.e. once every two years) from 2006 onwards.

...and assigned senior management to oversee training in 2012

8.2 Only three in ten (31%) training-providing establishments had assigned a senior management member to oversee training in 2012, down from 39% in 2010 and significantly lower than the 57% registered a decade ago. Large establishments with 200 or more employees continued to lead with six in ten (61%) having a senior management member to oversee training. This was followed by medium (35%) and small (23%) establishments. Establishments across the three size categories showed declines from 2010 and a decade ago.

Chart 13: Proportion Of Training-Providing Private Establishments That Assign A Member Of Senior Management To Oversee Training By Establishment Size, 2002-2012

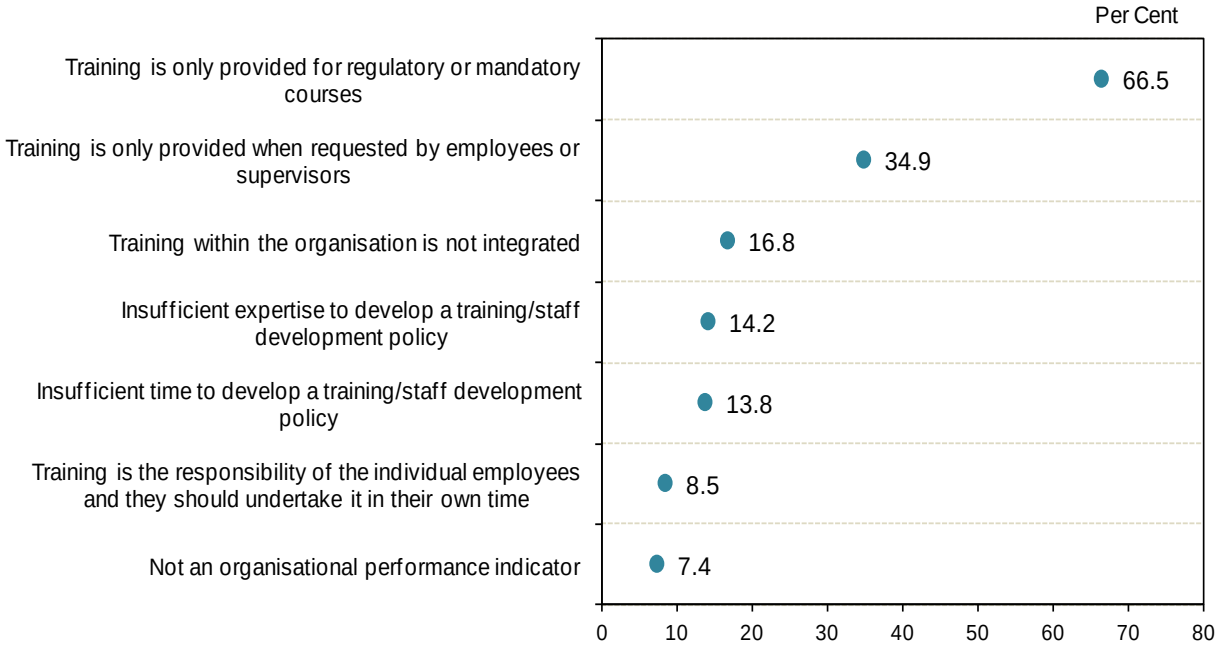


	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
Overall	57.0	36.5	37.9	35.3	37.7	n.a.	35.4	n.a.	38.9	n.a.	30.8
25 - 99 Employees	51.5	29.6	30.1	28.8	29.6	n.a.	28.4	n.a.	31.9	n.a.	23.0
100 - 199 Employees	57.9	42.3	44.4	38.7	44.3	n.a.	38.5	n.a.	42.9	n.a.	35.3
200 or More Employees	75.5	60.1	64.2	61.0	66.6	n.a.	58.0	n.a.	65.4	n.a.	61.3

Notes:
(1) Based on private establishments that provided their employees with training.
(2) The frequency of the survey was changed from annual to biennial (i.e. once every two years) from 2006 onwards.

8.3 Among the training-providing establishments without a formal training/staff development policy, two-thirds (67%) indicated that this was because they sent staff for *training only in regulatory or mandatory courses*. Slightly more than one-third (35%) reported that *training was provided only when requested by employees or supervisors*. Other reasons included *training within the organisation was not integrated* (17%), *insufficient expertise to develop training/staff development policy* (14%) and *insufficient time to develop a training/staff development policy* (14%). Reasons such as '*training is the responsibility of the individual employee that should be undertaken using their own time*' (8.5%) and '*training not being an organisational performance indicator*' (7.4%) were least cited.

Chart 14: Reasons For Not Having A Formal/Written Training Policy, 2012



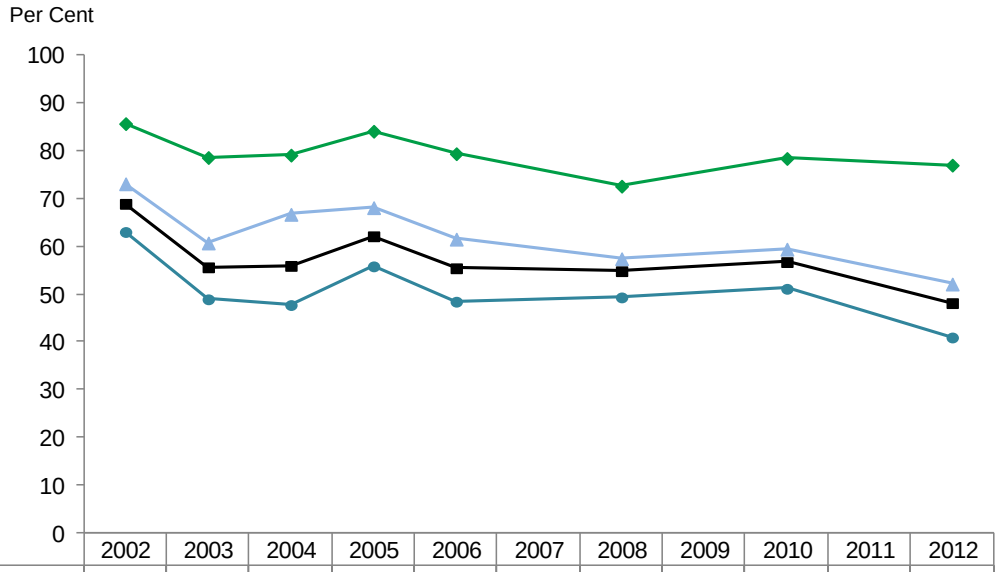
Notes:
(1) Based on training-providing private establishments that do not have a formal/written training policy.
(2) Figures do not add up to 100% as establishments are allowed to indicate more than one reason.

9 Training Evaluation

Drop in private establishments that evaluated training effectiveness

9.1 Almost half (48%) of the training-providing private establishments evaluated the effectiveness of training in 2012, down from 57% in 2010. The decline was observed across establishments of all three size categories, though the drop was less significant for larger establishments (from 79% in 2010 to 77% in 2012) (Chart 15). With more resources, large establishments (with 200 or more employees) were more likely to formally evaluate the effectiveness of staff training than medium (52%) and small (41%) establishments.

Chart 15: Proportion Of Training-Providing Private Establishments That Formally Evaluated Effectiveness Of Staff Training, 2002-2012

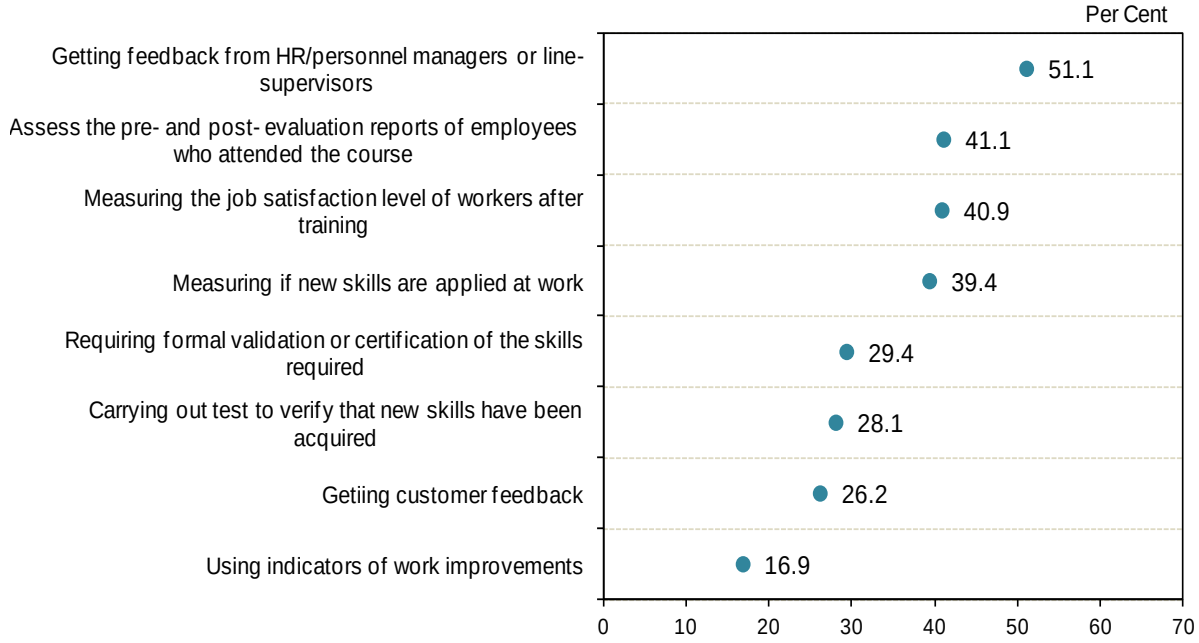


	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012
Overall	69.0	55.7	56.0	62.2	55.5	n.a.	54.9	n.a.	56.8	n.a.	48.2
25 - 99 Employees	63.1	49.0	47.8	55.9	48.5	n.a.	49.4	n.a.	51.2	n.a.	41.0
100 - 199 Employees	73.2	60.8	66.8	68.2	61.6	n.a.	57.5	n.a.	59.5	n.a.	52.2
200 or More Employees	85.8	78.7	79.2	84.2	79.5	n.a.	72.7	n.a.	78.5	n.a.	77.1

Notes:
(1) Based on private establishments that provided their employees with training.
(2) The frequency of the survey was changed from annual to biennial (i.e. once every two years) from 2006 onwards.

9.2 The more common procedures for evaluating the effectiveness of training were to *get feedback from HR/personnel managers or line-supervisors (51%),* followed by to *assess the pre- and post- evaluation reports of employees* (41%), *measure job satisfaction level of employees after training* (41%) and *measure whether new skills are applied at work* (39%). On the other hand, *using indicators of work improvements* (e.g. reduction in production time, shortening of delivery times, higher equipment utilisation and reduction in waste material) (17%) was less widespread.

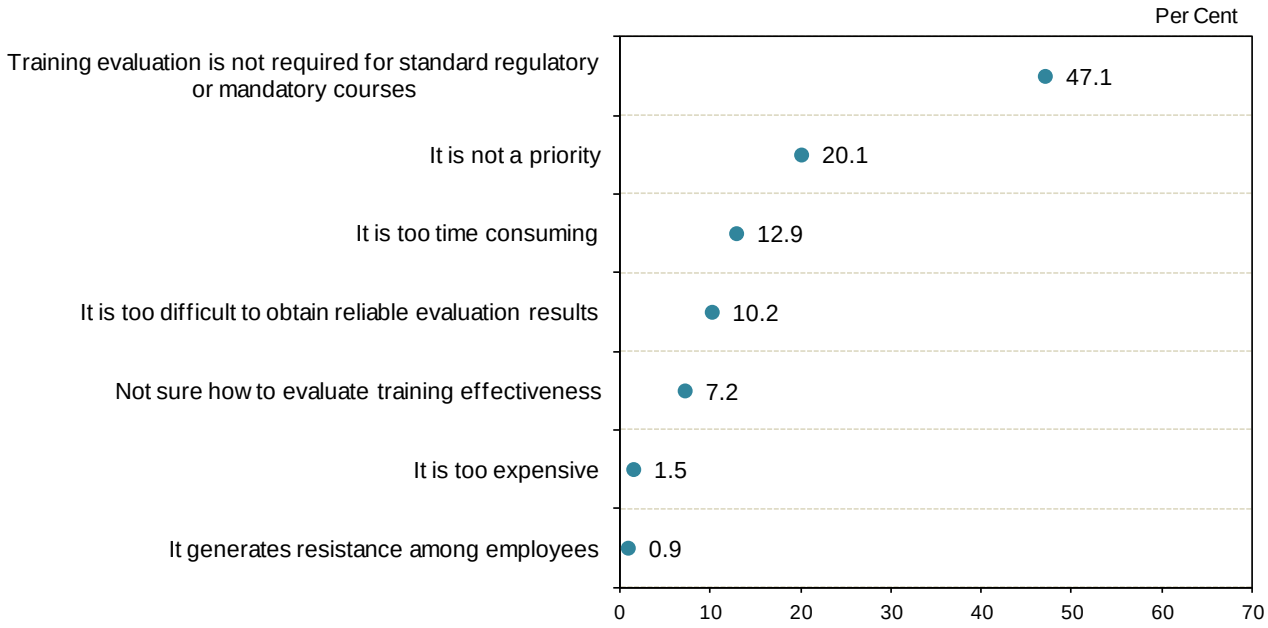
Chart 16: Common Evaluation Procedure, 2012



Notes:
(1) Based on training-providing private establishments that formally evaluated the effectiveness of training.
(2) Figures do not add up to 100% as establishments are allowed to tick more than one evaluation procedure.

9.3 Among those that did not have a formal evaluation procedure on training, slightly less than half (47%) indicated that it *was not required for standard regulatory or mandatory courses*. Another 20% stated that it was *not a priority* and 13% felt that it was *too time consuming*. One in ten (10%) felt that it was *too difficult to obtain reliable evaluation results* and 7.2% were *not sure how to evaluate training effectiveness*.

Chart 17: Main Reason For Not Having Evaluation Procedure, 2012



Notes:
(1) Based on training-providing private establishments that do not have formal evaluation procedures in place.
(2) Establishments are allowed to indicate only one option.
(3) Data may not add up to 100% due to rounding.

10 Concluding Remarks

10.1 The majority of employers continued to provide structured training to their employees in 2012, despite the tight labour market. However, they were more cautious with their training commitments amid the manpower shortage. Employers generally reported that the training undertaken in 2012 had benefitted their organisational and staff performance.

Annex A

Table A1: Proportion Of Private Establishments That Provided Structured Training By Industry And Establishment Size, 2012

Per Cent

	2012
INDUSTRY (SSIC 2010)	
Total	71.1
Manufacturing	77.5
Construction	90.4
Services	62.4
Wholesale and Retail Trade	42.0
Transportation and Storage	69.5
Accommodation and Food Services	70.3
Information and Communications	67.4
Financial and Insurance Services	91.1
Real Estate Services	73.8
Professional Services	78.3
Adminstrative and Support Services	66.4
Community, Social & Personal Services	60.7
ESTABLISHMENT SIZE	
25 - 99 Employees	65.4
100 - 199 Employees	83.6
200 or More Employees	92.1

Table A2: Proportion Of Private Sector Employees Provided With Structured Training In Training-Providing Establishments By Occupation, Industry And Establishment Size, 2012

Per Cent

	Overall	PMETs	Clerical, Sales & Service Workers	Production & Transport Operators, Cleaners & Labourers
INDUSTRY (SSIC 2010)				
Total	57.0	58.8	51.2	58.3
Manufacturing	57.8	57.4	34.3	60.9
Construction	55.2	32.8	14.1	63.0
Services	57.1	61.8	54.5	50.5
Wholesale and Retail Trade	47.5	46.7	54.7	28.2
Transport and Storage	58.2	57.9	64.1	54.0
Accommodation and Food Services	54.8	45.2	58.6	48.2
Information and Communications	47.2	48.2	45.4	31.0
Financial and Insurance Services	71.1	72.8	61.6	40.2
Real Estate Services	46.8	52.7	42.6	45.2
Professional Services	58.1	58.6	35.7	67.3
Adminstrative and Support Services	40.4	43.2	28.8	51.7
Community, Social & Personal Services	70.7	74.4	67.2	55.6
ESTABLISHMENT SIZE				
25 - 99 Employees	45.6	41.8	31.7	53.9
100 - 199 Employees	50.0	45.2	37.3	57.9
200 or More Employees	62.7	66.2	59.4	60.5

Notes:
(1) Based on private establishments that provided their employees with training.
(2) PMETs refer to professionals, managers, executives and technicians.

Table A3: Measures That Would Encourage Private Establishments To Send (More) Employees For Structured Training By Establishment Size, 2012

Per Cent

	Establishments That Provided Structured Training				Establishments That Did Not Provide Structured Training			
	Total	25 - 99 Employees	100 - 199 Employees	200 or More Employees	Total	25 - 99 Employees	100 - 199 Employees	200 or More Employees
Information on Training								
More industry-specific training courses	54.6	51.0	60.2	65.1	28.2	27.7	33.3	28.6
More information on useful/popular training courses	39.6	38.6	42.9	40.5	21.7	21.4	25.7	20.5
More information on type of structured training provided by leading establishments or competitors in same industry	29.5	27.7	31.4	35.9	16.0	16.0	17.0	13.4
Training assessment tools that can prove that skills of their employees lag behind those in the same industry or leading establishments	30.7	27.9	33.0	40.6	14.7	14.2	18.7	19.6
The returns of structured training of employees can be	36.7	34.6	35.7	47.7	19.1	19.6	15.0	15.2
Operational Challenges and Sustainability								
Establishment is able to manage the workload when employees go for training	64.3	62.6	65.9	70.8	46.4	46.3	50.0	39.3
Employees can identify and register for training courses	23.2	21.7	27.9	24.6	8.6	8.2	10.3	17.0
Cost of Training Courses								
Government subsidies can be increased for training courses	67.9	67.1	68.6	70.9	39.1	38.2	49.0	38.4
Government subsidies can be extended to more industry-specific training	50.8	47.8	54.3	61.0	29.8	29.1	36.7	32.1
None of the Above								
Establishment is satisfied with the current level of training provided to their employees	9.4	10.6	7.6	6.4	35.0	36.0	23.0	39.3

Note: Establishments are allowed to indicate more than one measure.

Table A4: Training Expenditure Per Employee And As A Percentage Of Employee Payroll In Training-Providing Private Establishments By Industry And Establishment Size, 2012

	Total		Net	
	$	% of total payroll	$	% of total payroll
INDUSTRY (SSIC 2010)				
Total	407	0.8	362	0.7
Manufacturing	326	0.8	300	0.7
Construction	132	0.6	120	0.6
Services	521	0.9	458	0.8
Wholesale and Retail Trade	480	1.0	455	0.9
Transport and Storage	767	1.6	699	1.5
Accommodation and Food Services	166	0.6	123	0.5
Information and Communications	645	0.9	590	0.8
Financial and Insurance Services	723	0.6	649	0.5
Real Estate Services	226	0.6	200	0.6
Professional Services	612	0.8	589	0.8
Adminstrative and Support Services	177	0.7	140	0.5
Community, Social & Personal Services	572	0.9	432	0.7
ESTABLISHMENT SIZE				
25 - 99 Employees	266	0.7	237	0.6
100 - 199 Employees	258	0.7	227	0.6
200 or More Employees	494	0.9	440	0.8

Note: Based on private establishments that provided their employees with training.

Table A5: Proportion of Training-Providing Private Establishments by Training Source, Industry and Establishment Size, 2012

Per Cent

	Local Training Conducted by External Trainers				Local Training Conducted by Internal Trainers			Overseas Training			
	Total	Training that leads to formally recognised qualifications	Training that does not lead to formally recognised qualifications	Training that provides accreditation of employee's skill competency by industry-specific training institutes	Total	Training conducted by dedicated training officers i.e. spent at least 50% of their on time on training	Training conducted by other staff (including line managers or supervisors)	Total	Training that leads to formally recognised qualifications	Training that does not lead to formally recognised qualifications	Training that provides accreditation of employee's skill competency by overseas institutes or establishment's overseas affiliates
INDUSTRY (SSIC 2010)											
Total	96.9	28.8	46.6	72.1	45.0	14.7	39.3	17.4	3.0	14.7	4.9
Manufacturing	98.0	28.4	46.5	77.9	53.4	15.0	47.0	15.2	2.3	12.3	5.1
Construction	98.7	17.6	17.7	95.0	23.5	5.7	19.1	2.9	1.1	1.8	0.6
Services	95.6	34.4	61.3	58.0	52.4	19.1	46.5	25.5	4.2	22.0	6.8
Wholesale and Retail Trade	94.7	32.1	56.2	53.6	46.7	20.7	40.9	27.6	4.1	22.8	9.2
Transport and Storage	95.3	26.1	67.2	61.2	55.5	16.9	48.5	20.8	3.8	16.7	5.7
Accommodation and Food Services	96.3	31.4	34.2	78.2	45.7	27.4	40.2	7.9	1.4	6.6	0.8
Information and Communications	95.5	29.0	77.4	49.3	63.3	20.4	57.5	32.6	4.1	24.4	15.4
Financial and Insurance Services	100.0	39.7	94.7	47.9	56.1	13.2	54.5	45.8	5.0	43.7	10.3
Real Estate Services	100.0	41.6	70.5	72.3	45.2	13.3	35.5	22.9	-	22.9	3.0
Professional Services	94.0	28.7	66.5	49.9	59.1	17.7	53.8	35.5	3.1	32.8	7.1
Adminstrative and Support Services	97.1	29.7	45.7	69.1	43.3	12.5	37.2	11.4	4.6	7.0	3.5
Community, Social & Personal Services	92.8	56.3	72.4	44.6	62.4	22.4	54.4	32.2	9.4	28.0	8.9
ESTABLISHMENT SIZE											
25 - 99 Employees	96.4	22.5	39.7	72.5	37.5	10.4	32.6	12.1	1.7	9.9	3.0
100 - 199 Employees	97.8	32.2	53.3	72.0	52.0	14.9	45.7	18.9	2.9	15.4	4.8
200 or More Employees	98.6	54.0	70.7	70.2	71.3	34.4	62.9	40.0	9.0	35.7	13.2

Notes:
(1) Based on private establishments that provided their employees with training.
(2) Establishments were allowed to indicate more than one option.
(3) '-': Nil or negligible.

Table A6: Commitment To Training In Private Sector, 2012

Per Cent

	Assign Senior Management Staff To Oversea Training	Have Formal/Written Staff Training or Development Policy
INDUSTRY (SSIC 2010)		
Total	30.8	30.1
Manufacturing	30.2	31.7
Construction	13.8	13.2
Services	39.4	37.9
Wholesale and Retail Trade	35.5	35.0
Transport and Storage	37.7	35.6
Accommodation and Food Services	32.6	26.9
Information and Communications	55.2	48.0
Financial and Insurance Services	42.6	47.6
Real Estate Services	45.2	37.3
Professional Services	38.4	42.2
Adminstrative and Support Services	34.8	29.1
Community, Social & Personal Services	50.3	49.5
ESTABLISHMENT SIZE		
25 - 99 Employees	23.0	21.3
100 - 199 Employees	35.3	36.8
200 or More Employees	61.3	62.5

Note: Based on private establishments that provided their employees with training.

Appendix I

SURVEY COVERAGE AND METHODOLOGY

Introduction

The *Survey on Employer-Supported Training, 2012* was conducted by the Manpower Research and Statistics Department of the Ministry of Manpower from 27 March to 31 May 2013. The survey was conducted under the Statistics Act (Chapter 317).

Objective

The survey was conducted to collect data on employers' provision of structured training, training expenditure and outcomes.

Coverage

The survey effectively covered 3,500 establishments in the private sector each with at least 25 employees, which employed a total of 1,092,400 employees. This yielded an overall survey response rate of 90.6%.

The results were weighted to reflect the population of private sector establishments with at least 25 employees by using expansion factors based on sampling fraction.

Methodology

The survey was conducted using mail questionnaires with clarifications made over the phone. Survey forms were returned either via internet submission or through mail, fax or e-mail.

Reference period

The reference period for the survey was from 1 January to 31 December 2012.

Data collected

Establishments were asked to provide the following information:

- Whether structured training was provided for any of their employees;
- What would encourage them to send employees for structured training;
- Percentage of employees sent for structured training by occupational group;
- Training methods;
- Skills set for which training was provided in;
- Training expenditure incurred;
- Average training hours per year the establishment commits to train employees by occupational group;
- Whether establishment has a formal (written) training/staff development policy;
- Formal evaluation of training effectiveness; and
- Impact of training on the establishment and employees

Classification

The industries of the surveyed establishments were classified according to the Singapore Standard Industrial Classification (SSIC) 2010.

Concepts and Definitions

Structured training	:	This refers to training in which the learning experience is under the direction of a teacher/lecturer/course supervisor and organised in a progressive sequence. Structured training <u>includes</u> classroom training, private lessons, correspondence courses, workshops, seminars, structured on-the-job training, apprenticeship and mandatory courses such as safety orientation course. It <u>excludes</u> informal on-the-job training such as watching a video on management skills, observing others perform a task at work, time spent at work learning new tasks, keeping up to date with work-related developments by reading journals/newspaper and informal discussions.
Total training cost	:	This refers to the amount incurred before deducting the cost recovered from the training incentive schemes such as the Skills Development Fund (SDF), government agencies, statutory boards and/or private sponsors. Total training cost <u>includes</u> course fees, rental, imputed cost of premises/facilities for training purposes and other monetary allowances, airfare and accommodation for trainees sent for overseas courses and wage cost of the establishment's in-house trainers. It <u>excludes</u> wage cost of staff who attended/missed training (i.e. trainees), payment of SDF levy and capital investment on training facilities.
Total payroll	:	This comprises wages/salaries and employer CPF contributions. Wages/salaries consist of basic wage, bonuses, overtime and other regular monetary payments (e.g. commissions, shift/transport/food allowances, productivity incentives and service point payments). Total payroll includes wages/salaries incurred on staff who had left the establishment at some point of time in 2012.

Senior management	:	This includes Deputy Chief Executive Officer, Director of Human Resources, Director of Administration, etc.
Job responsibilities	:	These refer to the tasks that one is assigned to do at work.
Skills level	:	This refers to the level of expertise. This could apply to either existing skills or new skills.
Flexibility in deployment	:	This refers to the ease at which one could be deployed to other functions. It could refer to a deployment to a similar job in other departments or a deployment to a different job.

RELIABILITY OF DATA

In a sample survey, inferences about the target population are drawn from the data collected from the sample. Errors due to extension of the conclusions based on one sample to the entire population are known as sampling errors. The sampling error of an estimate is the difference between the estimated value obtained from a sample and the actual value from the population. Factors influencing the sampling error include the sample size, the sample design, method of estimation, the variability of the population and the characteristics studied.

The most common measure of the sampling error of an estimate is its standard error, which is a measure of the variation among the estimates derived from all possible samples. An alternative measure is the relative standard error of an estimate which indicates the standard error relative to the magnitude of the estimate. A sample estimate and an estimate of its standard error can be used to construct an interval that will, at specified levels of confidence, include the actual value. About 68, 95 and 99 per cent of estimates from all possible samples will fall within the interval defined by one, two or three standard errors respectively on either side of the estimate. By statistical convention, the confidence level has been set at 95 per cent.

Estimates of the sampling variability of selected indicators are as follows:

		Estimate	Standard Error	Relative Standard Error	95% Confidence Interval	
Proportion of private establishments providing structured training	BY ESTABLISHMENT SIZE					
	Total	71.1%	0.8%	1.1%	69.6%	72.7%
	25-99 employees	65.4%	1.0%	1.6%	63.4%	67.5%
	100-199 employees	83.6%	1.0%	1.1%	81.7%	85.5%
	200 or more employees	92.1%	0.3%	0.3%	91.6%	92.7%
Proportion of private sector employees provided with structured training in training-providing establishments	BY MAIN OCCUPATIONAL GROUPS					
	Total	57.0%	0.6%	1.0%	55.8%	58.2%
	Professionals, managers, executives and technicians	58.8%	0.5%	0.9%	57.8%	59.9%
	Clerical, sales and service workers	51.2%	0.9%	1.8%	49.4%	53.1%
	Production & transport operators, cleaners & labourers	58.3%	0.7%	1.2%	57.0%	59.7%
	BY ESTABLISHMENT SIZE					
	25-99 employees	45.6%	1.5%	3.2%	42.6%	48.5%
	100-199 employees	50.0%	1.5%	3.1%	47.0%	53.1%
	200 or more employees	62.7%	0.7%	1.1%	61.3%	64.1%
Total training expenditure as a % of employee payroll in training-providing private establishments	Total	0.8%	0.0%	3.0%	0.8%	0.9%

FEEDBACK FORM

Report Title: Employer Supported Training, 2012

1. How would you rate this report in terms of :

	Excellent	Good	Average	Poor
a) Relevance to your work	☐	☐	☐	☐
b) Providing useful insights on prevailing labour market trends/development	☐	☐	☐	☐
c) Ease of understanding	☐	☐	☐	☐
d) Timeliness of information	☐	☐	☐	☐

2. Which area(s) of the report do you find most useful? Please provide reasons.

_____

_____

3. How do you find the length of the report?

☐ Too detailed ☐ Just right ☐ Too brief

4. Overall, how would you rate this report?

Excellent	Good	Average	Poor
☐	☐	☐	☐

5. What additional information (if any) would you like us to include in our future issues?

_____

_____

6. Any other comments or suggestions you wish to bring to our attention?

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This report examines employers' provision of structured training from January to December 2012 and the outcomes of the training.

Labour Market, Second Quarter 2013

Date of Release: 13 Sep 2013

This quarterly release analyses the labour market situation. Topics covered include unemployment, employment, redundancy, re-entry into employment, job vacancy, labour turnover and hours worked.

MINISTRY OF MANPOWER

Other Resources

Title	Date of Release
• Singapore Yearbook of Manpower Statistics, 2013	28/06/2013
• Manpower Statistics in Brief, 2013	20/06/2013
• Report on Wage Practices, 2012	05/06/2013
• Redundancy and Re-entry into Employment, 2012	25/04/2013
• Labour Turnover Time Series, 2006 to 2012	01/04/2013
• Labour Force in Singapore, 2012	31/01/2013
• Job Vacancies, 2012	28/01/2013
• Conditions of Employment, 2012	20/12/2012
• Retirement and Re-employment Practices, 2011	20/07/2012
• Report on Wages in Singapore, 2011	29/06/2012
• Singaporeans in the Workforce*	11/10/2011
• Labour Mobility	31/05/2010
• Focus on Older People In and Out of Employment	29/07/2008
• Quality of Employment Creation for Singapore Citizens	29/02/2008
• Employment of Singapore Citizens, Permanent Residents and Foreigners, 1997 to 2006	29/02/2008
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** This paper is a collaborative effort between Manpower Research and Statistics Department and Singapore Department of Statistics*

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